

A PENSION IS NOTHING MORE THAN DEFERRED COMPENSATION.

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Taking responsibility

Once a young person has left home to live independently, she starts to take on responsibilities. These include buying everyday things like food, clothes, and so on, as well as paying for somewhere to live and the household bills. And to meet these responsibilities, she will have to have an income, normally from a job or running a business. As she makes her way through life, she will probably take on more financial responsibilities, such as a mortgage to buy a house or apartment, or a loan to start her business, and these are often commitments to pay regular amounts over a period of years. It's fine to take on these kinds of commitments, so long as you have the income to pay for them. But the problems begin if you haven't made plans for when things might go wrong. You still have to pay the bills, even if something happens to your income. And if, like many people, you have also got a partner or even started a family, it will be a problem for all of them, too.

What it all goes wrong?

No one wants to believe that things could go wrong when planning the future, especially when it's something as important as taking on a new job, getting married, or buying a house. But bad things do happen, and you may lose your